

INTERNATIONAL RELATIONS



SOUTH ASIAN ASSOCIATION FOR REGIONAL COOPERATION (SAARC) - 2

MODULE - 58

INSTITUTIONS OF SAARC

1. Secretariat
2. Council of Ministers
3. Standing Committee
4. SAARC Development Fund
5. South Asian University
6. SAARC Arbitration Council



INSTITUTIONS OF SAARC

5. SOUTH ASIAN UNIVERSITY

- 1 The South Asian University was established during the 14th SAARC summit in New Delhi in 2007..
- 2 It was created with a vision to build a culture of understanding and regional consciousness, nurture a liberal and bright leadership, and build capacity in South Asia in the areas of science, technology and other disciplines.
- 3 These are essential for improving the quality of lives of the people of the region.
- 4 It is essential that the member states recognise the Degrees and Certificates awarded by the University.



INSTITUTIONS OF SAARC

6. SAARC ARBITRATION COUNCIL

effective resolution and settlement of disputes via arbitration in the region, the Agreement on SAARC Arbitration Council was signed during the 13th summit in 2007.



SOUTH ASIAN FREE TRADE AGREEMENT

- 1 The South Asian Preferential Trading Agreement (SAPTA) was established in 1993 in Dhaka.
- 2 It was created to promote and sustain mutual trade and economic co-operation among the member states through exchange of trade concessions.
- 3 It created a Preferential Trading Area amongst the then seven member states of SAARC.
- 4 Eventually there was a need to move beyond preferential trading to higher levels of trade and economic cooperation by removing barriers to cross-border flow of goods.



SOUTH ASIAN FREE TRADE AGREEMENT

5

This realisation led to the creation of South Asian Free Trade Agreement (SAFTA) in 2006.

6

SAFTA was designed to promote and enhance mutual trade and economic cooperation among the Contracting States. The contracting states were to abide by the principles

7

They were to abide by the principles of WTO.

8

There was a need to move beyond uniform laws of trade towards preferential and special treatment for Least Developed Countries (LDCs).

South Asian Free Trade Area (SAFTA)



SOUTH ASIAN FREE TRADE AGREEMENT

- 9 Under SAFTA, LDCs could have a longer list of sensitive items which would be exempted from liberalized commitments as compared to the non-LDCs.
- 10 The LDCs would also be allowed smaller initial tariff reduction and longer implementation periods.
- 11 These were some of the provisions designed for the development of the Least Developed Countries.



SAARC SUMMITS

- 1 The SAARC summits are held annually.
- 2 It is attended by the Heads of the States or Governments of the member states.
- 3 These summits are hosted by a Member State; who assumes the chair of the association.
- 4 The summit considers and approves the reports of the Council of Ministers and Ministerial Meetings.



ISSUES AFFECTING FUNCTIONING OF SAARC

- 1 SAARC has been regarded as a game change in South Asian regional development.
- 2 However, multiple issues arise that are hindering the progress aspect of this organisations, which are- bilateral issues between India and Pakistan.
- 3 The trust deficit between India and Pakistan is the main reason why the prospect of SAARC is in dilemma.
- 4 Issues like trans-border terrorism from Pakistan makes the situation worse in contemporary time.
- 5 Along with it, Pakistan decided not to sign agreement on regional connectivity at Kathmandu summit in 2014.



POLITICAL INSTABILITY

Though SAARC has established itself as a regional forum, it has failed to attain its objectives.

1 Numerous agreements have been signed and institutional mechanisms established under SAARC, but they have not been adequately implemented.

2 The current chaotic and unstable political condition in the regional states like Afghanistan, Maldives, Pakistan and Nepal also make the union less empowered in decision making and implementations.

3 There is a lack of trust among the member countries of SAARC; particularly between India and Pakistan which have often affected progress and development in the region

4 In recent times, Pakistan's non-cooperation has stalled some major initiatives under SAARC.



POLITICAL INSTABILITY

5 For example, despite India's keen interest in cooperating and strengthening intra-regional connectivity by backing the SAARC-MVA during the 18th summit of SAARC, the agreement was stalled following Pakistan's reluctance.

6 Pakistan had opposed India's SAARC Satellite project.

7 There is unevenness within SAARC especially with India in terms of geographical size, economic and military strength and influence in the global arena.

8 They perceive India as a "Big Brother" and fear that SAARC might become a tool in the hands of India to pursue its regional ambitions.



POLITICAL INSTABILITY

- 9 The smaller neighbouring countries refrain from actively participating in SAARC agreements.
- 10 There is no dispute resolution mechanism in SAARC. Disputes among member countries, especially India and Pakistan, often hamper consensus building, and slow the decision making process
- 11 Because of SAARC's failures, member countries have turned to bilateralism, which in turn has adversely affected the organisation.



POLITICAL INSTABILITY

12 Bilateralism is an easier option since it calls for dealings between only two countries, whereas SAARC—at a regional level—requires one country to deal with seven countries.

13 Thus, bilateralism decreases the countries' dependence on SAARC to achieve their objectives, making them less interested in pursuing initiatives at a regional level.

14 The 19th SAARC summit to be held in Pakistan was suspended for an indefinite period. SAARC is being questioned for the lack of a conducive environment.



EMERGENCE OF CHINA

- 1 China was criticised for its 'String of Pearls' and 'Encircling India' policy.
- 2 With China's One Belt One Road Initiative, China will have an overpowering role in the South Asian region.
- 3 India's bilateral issues with other countries like Nepal, Sri Lanka and Bangladesh also causes a trust issue and therefore these South Asian nations are viewing China as an instrument to bargain with India.



ECONOMIC

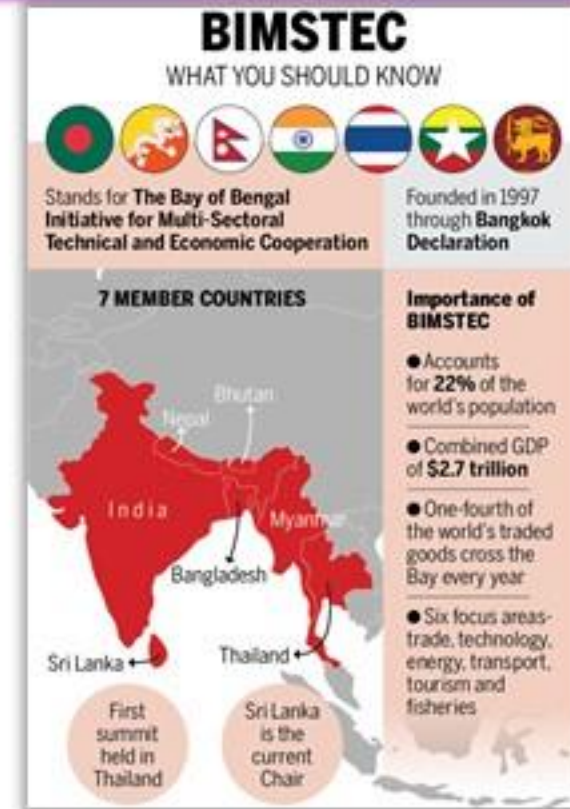
- 1 There is lack of connectivity among the SAARC countries. India and Afghanistan do not share any border.
- 2 Hence, border trade between the two countries is affected.
- 3 SAARC faces a shortage of resources, and countries have been reluctant to increase their contributions.



ALTERNATIVE TREATIES

- 1 SAARC's failures prompt the nations to look for alternative bilateral and multilateral platforms.
- 2 This has led to the establishment of BBIN (Bangladesh, Bhutan, India, Nepal) and BIMSTEC (Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation).
- 3 The South Asia Free Trade Agreement (SAFTA) is often highlighted as a prominent outcome of SAARC, but that, too, is yet to be implemented.

- 4 Despite SAFTA coming into effect as early as 2006, the intra-regional trade continues to be at a meagre 5%.



SECURITY COOPERATION

- 1 SAARC has not been successful in security cooperation as well.
- 2 There has been a lack of consensus on threat perception, as member disagree on the idea of threats.
- 3 India feels, for example, that Pakistan is not addressing the issue of cross-border terrorism emanating from its country.



WHY SAARC IS STILL RELEVANT?

- 1** Although it has not met the expectations it has generated, but it gives opportunities for the leaders as well as the operating level officials to interact regularly and discuss issues of mutual concern is reason enough for SAARC to remain relevant.
- 2** The problems faced by the SAARC countries are similar and distinct from other regions.
- 3** The solutions, therefore, are best found with mutual cooperation in the region.
- 4** For this reason, itself SAARC continues to be relevant.
- 5** There is no denying the fact that growth in trade and commerce within the region is an extremely important step in this direction. Agreements for this purpose that have been signed earlier do exist.



WAY FORWARD

- 1 SAARC can and should be the instrument for leaders of the region to improve the economic situation of the people of the region, even if to begin with, it is in baby steps.
- 2 To make SAARC more effective, the organisation must be reformed, and member countries must reach a consensus regarding the changes required.
- 3 However, considering the differences that exist among the members, particularly between India and Pakistan, such a consensus will be difficult to reach.
- 4 Until the member countries resolve their issues, the future of SAARC remains uncertain.



WAY FORWARD

- 5 SAARC is troubled with issues like terrorism, border disputes, tax issues, etc.
- 6 It is also criticized for unable to create mutual trust and understanding among its member nations.
- 7 Reconciling the interests of India and Pakistan is the most challenging role of SAARC.
- 8 It is imperative that India and Pakistan should amicably resolve their differences for the proper functioning of the organisation



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Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

0866 244 44 72

98499 42299

94415 27588